

White Paper: AI's Relationship with Economic Freedom

Executive Summary

This research finds no positive correlations between a nation's AI policy discourse, its institutional environment, and its economic maturity. Economically free countries are associated with more risk-oriented AI policy rhetoric.

Introduction

Following generative AI's rapid emergence in 2022, global governance has split between prioritizing innovation and investment versus safety and regulatory oversight. This exploratory study examines the relationship between AI policy discourse and economic indicators across G7 nations and China.

Research Question

How do variations in economic freedom and AI vibrancy shape the dominant framing embedded in national discourse, and how do these relationships vary across G7 countries and China?

Hypotheses

H1: Countries with higher Stanford AI Vibrancy scores will exhibit more innovation-oriented rhetoric in their national policy documents.

H2: Countries with lower Stanford AI Vibrancy scores will exhibit more risk-oriented rhetoric in their national policy documents.

H3: Countries whose AI regulatory discourse is more positive and innovation-oriented will exhibit higher economic freedom scores.

H4: Countries whose AI regulatory discourse is more negative and risk-oriented will exhibit lower economic freedom scores.

Methodology

Using computational text analysis, this research evaluated national AI strategy documents from the G7 nations and China to quantify their reliance on innovation versus risk-oriented framing. AI Vibrancy, Economic Freedom, and Rhetoric were measured using concrete qualitative methods. DeepSeek through Ollama was utilized, classifying each sentence independently to reduce cross-sentence leakage and ensure each label is auditable at the sentence level.

Key Findings

Initial findings disproved all hypotheses, indicating no association between rhetoric and AI Vibrancy. Economic Freedom actually had an unexpected, moderate negative correlation with innovation-oriented rhetoric. This study indicates that while AI Vibrancy and Rhetoric may have a positive correlative relationship, Economic Freedom and Rhetoric appear to have an inverted, negative relationship.